

FORMULA 1 TEAM FINANCIAL PERFORMANCE ANALYSIS

Executive Summary

PROJECT OBJECTIVE

This project examines the relationship between Formula 1 teams' financial scale and on-track performance. It compares Constructors' Championship points, race wins, estimated team valuations, and revenue-based efficiency metrics to identify which teams achieved the strongest sporting results relative to their reported revenue.

KEY FINDINGS

McLaren recorded the strongest sporting performance with 833 Constructors' points and 14 race wins. It also produced approximately 135.7 points per \$100 million of revenue, the highest revenue-efficiency result in the analysis. Ferrari had the highest estimated valuation at \$6.5 billion, showing that team value also reflects brand history, commercial strength, and long-term appeal.

WEAKEST PERFORMANCE

Alpine scored only 22 points and produced approximately 7.3 points per \$100 million of revenue, the lowest result among the teams analyzed. This indicates a large gap between the team's revenue and its 2025 sporting performance. However, the calculation does not measure profit, actual spending, or return on investment.

CONCLUSION

The analysis suggests that higher revenue and team valuation do not automatically lead to better racing results. McLaren achieved the strongest performance relative to revenue, while Ferrari remained the most valuable team despite finishing fourth in the Constructors' Championship. Formula 1 performance therefore depends on how effectively teams convert financial resources, personnel, engineering, and strategy into results.

LIMITATIONS

The sporting results are from the 2025 season, while the revenue figures represent 2024 operations and the team valuations are 2025 estimates. Revenue is not the same as spending, cost, profit, or investment. The calculations therefore compare team revenue with racing results, but they do not show how profitable each team was or how effectively it spent its money.